

globally, raising a total of \$608 billion across 2,682 IPOs.

However, every start-up that jumped on to the IPO bandwagon is facing a reckoning now as the global economic environment looks strikingly different from where it was earlier. Start-up valuations have begun to plummet and tech stocks across the globe are suffering. Back home in India, after its stellar debut in July, Zomato's stock has mostly been on a slide. Its stock price touched a record low of ₹46 on July 25 as the one-year lock-in period for its pre-IPO shareholders came to an end. Neither the company's ₹4,447-crore acquisition of quick commerce platform Blinkit, nor its initiatives such as instant delivery or intercity services seem to have cheered investors up.

136 | “We are really positive about food delivery. It's a duopoly and it will remain a duopoly. However, initiatives like 10-minute and intercity delivery are not long-term strate-

gies, but marketing ploys. Blinkit is a big strategic bet. Depending on how they are able to execute, Blinkit could be a material value creator for them over the long term,” says Rishi Jhunjhunwala, Senior Vice President and Lead Analyst of Technology at IIFL Institutional Equities.

SEARCHING FOR PROFIT

Another vaunted start-up that made history as India's biggest IPO is Paytm. Its ₹18,300-crore IPO was the largest ever stock market listing in India. But its reckoning was immediate too. Listed at a discount of 9 per cent from its issue price of ₹2,150 apiece, its stock closed over 27 per cent lower on the first day. A report from Macquarie Research just hours before its listing termed the firm as a ‘cash guzzler’, and added that its business model lacked focus and direction.

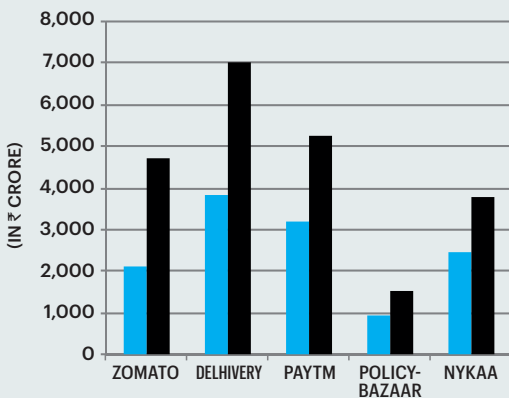
Now, the Vijay Shekhar Sharma-founded company has managed to

narrow its losses sequentially to ₹571 crore in Q2FY23 and is hoping for a rebound in its stock. The company has also witnessed its revenue jump 76 per cent year-on-year and 14 per cent quarter-on-quarter to ₹1,914 crore, with a rise in lending, expansion in merchant subscriptions, and momentum in commerce and cloud, among others growth drivers. Per various brokerages, several growth levers including cost-effective acquisition of customers and merchants, steady loan disbursements, new device additions and a thriving digital payments industry should work in its favour. Besides, the company is slowly adding monetisation features to more and more verticals. However, its focus is spread too broadly, which continues to worry investors.

“For Paytm, it's not about growth. It's about what they want to do. Payments is a very difficult space to make money as it comes with a lot

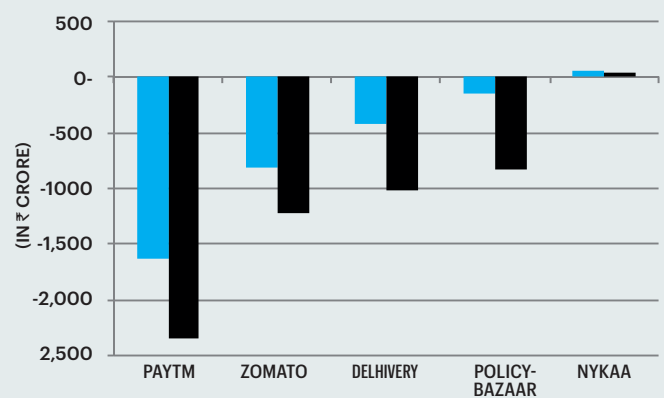
REPORT CARD MOST START-UPS THAT JUMPED ON TO THE IPO BANDWAGON ARE

TOTAL INCOME



■ FY21 ■ FY22 SOURCE ACE EQUITY

PROFIT AFTER TAX



■ FY21 ■ FY22 SOURCE ACE EQUITY